

that are derived in the Merton-Samuelson dynamic trading context accord well with the advice given by some financial advisors. A practitioner framework developed by Ashvin Chhabra (2005), who for a time managed the endowment of the Institute for Advanced Study in Princeton, suggests that an individual investor create three buckets:

1. Protective portfolio, which covers “personal” risk. The portfolio is designed to minimize downside risk and is a form of safety first (see chapter 2). The maxim is: “Do not jeopardize the standard of living.”
2. Market portfolio, which is a balance of “risk and return to attain market-level performance from a broadly diversified portfolio” and is exposed to market risk.
3. Aspirational portfolio, which is designed to “take measured risk to achieve significant return enhancement.” Aspirational risk is a property of an investor’s utility function and is a desire to grow wealth opportunistically to reach the next desired wealth target.

This looks very much like the Merton-Samuelson advice. Chhabra’s buckets correspond to the three Merton-Samuelson portfolios:

1. Protective portfolio = Liability-hedging portfolio;
2. Market portfolio = Short-run portfolio; and
3. Aspirational portfolio = Long-run opportunistic portfolio.

There are some small differences between Merton-Samuelson and Chhabra. Chhabra advocates mostly safe, fixed-income assets for the protective portfolio, while the concept of the Merton liability-hedging portfolio recognizes that U.S. Treasuries may not be safe and sometimes are extremely risky in terms of meeting liability commitments. But the overall concepts of Chhabra are similar to Merton and Samuelson’s theory.

Thus, some financial planners have been advocating Merton-Samuelson dynamic portfolio choice theory even though they have not been exposed to the original Nobel Prize-winning papers written in the 1960s and 1970s. The difference is that the full (rocket science) glory of formal portfolio choice leads to quantitative solutions (equations can be numerically solved by rocket scientists to give portfolio weights when analytical solutions are not available), economic rigor, and some deep insights linking dynamic portfolio choice with option strategies to understand when and how long-run advice will do well or poorly.

5. Rebalancing Premium

Long-horizon investing is not complete without a final discussion of the *rebalancing premium*. This goes under a variety of names including the *diversification*